It may be pointed out that several years ago it appeared that 10 to 12% of gross constituted a comparatively liberal deduction.

Practical Effect of Varying Depreciation Policies. The reader may consider this discussion of utility depreciation policies to be highly technical and uninteresting, but the fact remains that it has a bearing of the greatest practical importance on the selection of public-utility stocks and on their market behavior. The companies that charged inadequate depreciation prior to 1934 were generally overvalued in the stock market, because investors gave equally inadequate attention to this point. A careful analyst would have found many occasions to suggest transfers from less conservative to more conservative companies. Since in the following years there has been a tendency for the former group to step up their charges substantially, their reported earnings have been correspondingly held down, and their market prices also. The following example will illustrate this development:

Example:

American Water Works and Electric vs. Pacific Gas And Electric*

	Average 5 years 1927–1932		Year ended June 30, 1939	
Item	**Amer.Water Works & El.**	**Pacific Gas & El. Works**	**Amer.Water & El. Gas**	**Pacific & El.**
Gross earnings	$50,260	$72,175	$51,791	$104,529
Depreciation	3,665	8,330	5,278	14,679
Percentage of gross	7.3%	11.6%	10.2%	14.0%
Available for fixed charges	20,998	30,717	17,898	37,416
Interest and preferred dividends	16,290	18,785	16,768	20,198
Balance for common	4,708	11,932	1,130	17,218
Earned per share	2.69	2.67	0.48	2.75
Earned per share adjusted†	1.47	2.67	def.	2.75
	Year 1933		**July 1939**	
Average price	27	23 1/2	10 1/4	31 3/4

* Dollar figures are in thousands, except those per share.

† Allowing for depreciation at per cent of gross taken by Pacific Gas and Electric.